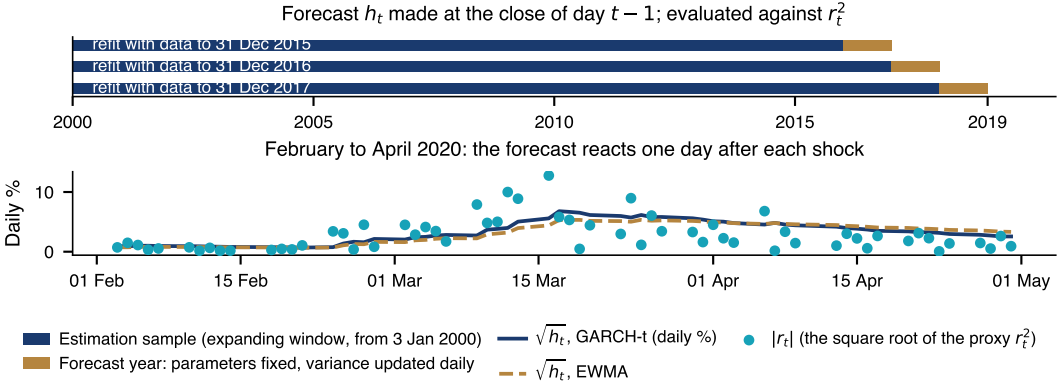
Forecast h_t made at the close of day $t-1$; evaluated against r_t^2
refit with data to 31 Dec 2015
refit with data to 31 Dec 2016
refit with data to 31 Dec 2017
2000
2005
2010
2015
2019
February to April 2020: the forecast reacts one day after each shock
Daily %
10
0
01 Feb
15 Feb
01 Mar
15 Mar
01 Apr
15 Apr
01 May
Estimation sample (expanding window, from 3 Jan 2000)
Forecast year: parameters fixed, variance updated daily
$\sqrt{h_t}$, GARCH-t (daily %)
$\sqrt{h_t}$, EWMA
$|r_t|$ (the square root of the proxy r_t^2)